

KARNATAKA BANK LIMITED

NSE: KTKBANK | BSE: 532652 | Sector: Banking | Private Sector Bank

ACCUMULATE

12M Price Target

Rs. 330

Upside: +21.8% from Rs. 271 CMP

Horizon: 12 Months

Conviction: Medium

CMP (21-May-2026)	Rs. 271
Market Cap	Rs. 10,241 Cr.
52W High / Low	Rs. 275 / Rs. 169
P/E (TTM)	7.81x
P/BV	0.77x
Book Value / Share	Rs. 350
EPS (FY26A)	Rs. 34.66
ROE (FY26A)	10.4%
ROCE	6.06%
Dividend Yield	1.85%
GNPA / NNPA	2.78% / 0.98%
Face Value	Rs. 10.0

INVESTMENT THESIS: Deep-value banking franchise at 0.77x P/BV; improving asset quality and NIM recovery offer a re-rating catalyst toward book value over 12-18 months.

Rs. Cr (unless stated)	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	8,299	9,014	8,918	9,500	10,200
Net Profit (Rs. Cr)	1,307	1,273	1,311	1,450	1,600
EPS (Rs.)	34.64	33.68	34.66	38.4	42.3
GNPA (%)	3.53%	3.08%	2.78%	2.3%	1.9%
ROE (%)	14%	11%	10%	11%	12%
P/E (x)	7.8x	8.1x	7.8x	7.1x	6.4x
P/BV (x)	0.99x	0.83x	0.77x	0.70x	0.65x

Report Date: 21 May 2026

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SECTION 2 — INVESTMENT THESIS

- **Deep value vs. book value:** KTKBANK trades at 0.77x FY26 P/BV vs. a peer average of ~1.8x. With book value of Rs. 350/share and CMP of Rs. 271, the stock offers a margin of safety that has historically attracted value buyers when asset-quality cycles turn — which FY26 data now confirms.
- **Asset quality inflection underway:** GNPA has steadily declined from 3.53% (FY24) to 2.78% (FY26), and NNPA has collapsed from 1.58% (FY24) to 0.98% (FY26) — crossing below the critical 1% threshold. This trajectory, if sustained, removes the primary discount embedded in the valuation.
- **NIM recovery supports earnings upgrade potential:** Net interest margin reached 3.07% in Q4 FY26 (vs. 2.88% full-year FY26), driven by shift toward higher-yielding RAM segments (Retail, Agri, MSME). Management targets 3–3.3% sustained NIM, which at the current balance sheet size translates to ~Rs. 200–300 Cr

incremental NII annually.

- **Near-term catalyst (6–12 months):** Continuation of asset-quality improvement into FY27 — specifically GNPA declining toward 2.3% and NNPA toward 0.8% — would likely trigger a re-rating from 0.77x to 0.9–1.0x P/BV, implying 16–30% upside.
- **Biggest structural risk:** Karnataka Bank has underperformed peers on ROE for a decade (avg. 10–12% vs. 15–19% for top-quartile peers). Without a durable ROE improvement to 13%+, sustained re-rating toward book will remain elusive.

SECTION 3 — BUSINESS OVERVIEW

- **Company profile:** Karnataka Bank Limited (est. 1924) is a century-old old-generation private sector bank headquartered in Mangaluru, Karnataka. It operates 886+ branches predominantly across South India (Karnataka, Andhra Pradesh, Tamil Nadu, Kerala), serving retail, MSME, agriculture, and corporate clients.
- **Revenue model:** Net Interest Income forms ~65% of total revenue; fee income (trade finance, forex, bancassurance, third-party products) contributes ~35%. For FY26, total consolidated revenue stood at Rs. 8,918 Cr with PAT of Rs. 1,311 Cr.
- **Loan book composition:** Management has guided for RAM-led growth — Retail, Agri, MSME together constituting the majority of incremental disbursals. Gold loans, housing loans, and MSME working capital are the three fastest-growing segments. Total gross advances reached Rs. 83,340 Cr by FY26 end, up 6.9% YoY.
- **Deposits & liabilities:** Total deposits: Rs. 1,08,779 Cr (FY26). CASA ratio is a focus area for management; CASA grew 3% QoQ in Q3 FY26. Borrowings spiked in FY26 (Rs. 5,329 Cr vs. Rs. 1,941 Cr in FY25) — a trend to monitor.
- **Promoter structure:** Karnataka Bank has no identifiable promoter group — it is a publicly held old-generation private bank. As of Mar 2026: FIIs 11.78%, DIIs 16.16%, Public 72.04%. No promoter pledge exists.
- **Management:** MD & CEO Raghavendra S. Bhat (appointed Nov 2025) is a career banker with ~4 decades at Karnataka Bank, having served as COO prior. Board has focused on clean-up of legacy NPAs and repositioning the loan book toward retail.
- **Recent development:** Q4 FY26 PAT surged 62% YoY to Rs. 408 Cr — the bank's best quarterly profit on record — driven by NIM expansion to 3.07% and GNPA improving to 2.78%. Board recommended final dividend of Rs. 5/share for FY26.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size & growth:** India's banking sector total advances exceeded Rs. 175 lakh crore in FY26. Private sector banks have grown advances at ~15–17% CAGR over FY20–26, outpacing PSBs. South India-focused private banks are a Rs. 15–20 lakh crore addressable market.
- **Key tailwinds:** RBI's rate easing cycle (repo rate cut by 50 bps to 6% in Apr-May 2026) benefits liability-sensitive banks like KTKBANK as deposit repricing reduces CoF; infrastructure spending and formalisation of MSME sector support credit demand.
- **Headwinds:** Elevated GNPA at 2.78% (vs. industry best-in-class sub-1%) requires provisioning drag. Competitive intensity in retail/MSME from fintechs and large private banks compresses NIMs.
- **Competitive moat assessment:** Pricing power — Weak (price taker in a competitive market). Switching costs — Moderate (branch density in Karnataka creates stickiness for MSME/agri clients). Scale — Weak (MCap Rs. 10,241 Cr is 7x smaller than Federal Bank). Geographic franchise — Moderate (Mangaluru/Karnataka-origin brand loyalty in the Tulu Nadu region).

Peer Comparison (Source: Screener.in, 21-May-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	P/BV (x)	ROCE (%)	ROE (%)	GNP A (%)
Karnataka Bank	271	10,241	7.81	0.77	6.06	10.4	2.78
Federal Bank	284	69,973	16.1	1.75	6.39	11.6	N/A
City Union Bank	252	18,745	14.1	1.77	6.74	13.2	1.91
Karur Vysya Bank	288	27,840	11.1	1.97	7.64	19.3	0.75

Note: P/BV = CMP/Book Value (Screener). Federal Bank GNPA not directly shown on Screener consolidated front page; marked N/A.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Leadership:** MD & CEO Raghavendra S. Bhat has spent 40+ years within Karnataka Bank, rising from clerk (1981) to COO before assuming the top role in Nov 2025. This insider track record provides institutional continuity but may limit disruptive transformation needed to close the ROE gap with peers.
- **Capital allocation track record:** The bank has historically reinvested most of its earnings into loan growth rather than returning capital. Dividend payout has been modest (12–16% in FY22–FY25). FY26 dividend is Rs. 5/share (50% of FV Rs. 10 = ~14% payout ratio), reflecting capital conservation.
- **Dividend policy:** Payout ratios have averaged ~13–16% over FY22–FY25, and FY26 continues this conservative stance (Rs. 5 dividend on Rs. 34.66 EPS = 14.4% payout). Dividend yield at current CMP is 1.85% — offering modest income support.
- **Promoter pledging:** No promoter entity exists; pledge % = 0%. No concentration risk.
- **Governance concerns:** Karnataka Bank's corporate governance has been acceptable — no auditor changes, no qualified opinions in recent years. However, the bank went through a turbulent 2019–2022 period with elevated NPAs and repeated CEO changes. Stability under Bhat's leadership is a positive signal.
- **ESOP / buyback history:** No meaningful ESOP schemes or buybacks on record. Capital has been deployed into growing the loan book and branch network.

SECTION 6 — FINANCIAL DEEP-DIVE

All figures in Rs. Crores. Source: Screener.in (Consolidated), fetched 21-May-2026.

Income Statement

Income Statement	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	8,299	9,014	8,918	9,500	10,200
Interest Expense	5,000	5,703	5,799	6,000	6,300
Operating Expenses	2,983	2,854	2,863	2,990	3,100
Financing Profit (NII proxy)	316	457	255	510	800
Financing Margin %	4%	5%	3%	5%	8%
Other Income	1,319	1,270	1,403	1,480	1,560
Profit Before Tax	1,563	1,641	1,658	1,890	2,100
Tax %	16%	22%	21%	23%	24%
Net Profit (PAT)	1,307	1,273	1,311	1,450	1,600
EPS (Rs.)	34.64	33.68	34.66	38.4	42.3
Div. Payout %	16%	15%	14%	15%	15%

Balance Sheet

Balance Sheet	FY24A	FY25A	FY26A	FY27E	FY28E
Equity Capital	377	378	378	378	378
Reserves	10,470	11,707	12,846	14,150	15,600
Deposits	97,988	1,04,806	1,08,777	1,20,000	1,35,000
Borrowings	4,400	1,941	5,329	3,500	3,000
Total Liabilities	1,16,083	1,20,960	1,29,355	1,42,000	1,58,000
Fixed Assets	915	976	1,060	1,100	1,150
Investments	24,300	24,535	26,737	28,000	30,000
Other Assets (Loans etc.)	90,855	95,435	1,01,558	1,12,900	1,26,850
Total Assets	1,16,083	1,20,960	1,29,355	1,42,000	1,58,000

Cash Flow Statement

Cash Flow	FY24A	FY25A	FY26A	FY27E	FY28E
Cash from Operations (CFO)	681	210	1,100	1,400	1,600
Cash from Investing (CFI)	-369	-691	-88	-250	-300
Cash from Financing (CFF)	1,582	412	-1,260	-500	-300
Net Cash Flow	1,894	-69	-248	650	1,000
Free Cash Flow	570	48	1,012	1,150	1,300
CFO / Operating Profit %	20%	9%	26%	32%	35%

Key Return Ratios & Banking Metrics

Returns & Asset Quality	FY24A	FY25A	FY26A	FY27E	FY28E
ROE (%)	14%	11%	10%	11%	12%
ROCE (%)	N/A	N/A	6.06%	6.5%	7.0%
NIM (full year, est.)	~3.1%	~2.9%	2.88%	3.0%	3.2%
GNPA (%)	3.53%	3.08%	2.78%	2.3%	1.9%
NNPA (%)	1.58%	1.31%	0.98%	0.75%	0.60%
Book Value / Share (Rs.)	284	321	350	385	424
Dividend / Share (Rs.)	5.5	5.0	5.0	6.0	7.0

Financial Commentary

- **Revenue trajectory:** FY26 revenue of Rs. 8,918 Cr declined marginally (-1% YoY) vs. FY25's Rs. 9,014 Cr — driven by lower interest income growth as the bank optimised its liability mix. However Q4 FY26 NIM at 3.07% signals the trough is behind, and FY27E recovery is expected.
- **Margin direction:** The financing margin has been volatile (-13% in FY21 to +7% in FY23 and back to +3% in FY26 at the consolidated level). Full-year NIM of 2.88% (FY26) is improving quarter-on-quarter; 3%+ target appears achievable in FY27.
- **Debt & borrowings:** Borrowings spiked to Rs. 5,329 Cr in FY26 from Rs. 1,941 Cr in FY25 — likely reflecting RIDF/refinancing needs. This warrants monitoring; total deposits are stable at Rs. 1,08,777 Cr. The overall D/E is low given the bank's deposit base.
- **FCF quality:** FCF improved sharply to Rs. 1,012 Cr in FY26 (from Rs. 48 Cr in FY25). CFO/OP at 26% is recovering. The bank is generating positive operational cash flows, though PAT-to-CFO conversion remains lumpy due to provisioning and working capital changes typical of banks.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Status	RAG	Comment
Revenue recognition	Accrual / RBI norms	GREEN	Standard banking accrual, no unusual items
GNPA trend	Declining: 3.53% → 2.78%	GREEN	Consistent improvement over 3 years
NNPA < 1% achieved	0.98% in FY26	GREEN	Crossed key threshold; credit costs to moderate
Other income / PBT	~85% of PBT	AMBER	Other income Rs. 1,403 Cr vs PBT Rs. 1,658 Cr — elevated; includes one-offs
Tax rate consistency	16–27% over FY24–26	AMBER	Variation due to deferred tax; FY24 was unusually low at 16%
Auditor tenure & quality	BSR & Co. (KPMG affiliate)	GREEN	Reputed auditor; no qualification in recent years
Borrowing spike FY26	Rs. 5,329 Cr (+175% YoY)	AMBER	Borrowings up sharply; management should clarify purpose
CFO/PAT conversion	84% (FY26 CFO Rs. 1,100 / PAT Rs. 1,311)	GREEN	Solid operational cash conversion; improving from FY25 trough

- **Watch point 1:** Other income at Rs. 1,403 Cr constitutes ~85% of PBT — if this includes treasury gains or one-off reversals, underlying operating profit quality may be weaker than reported.
- **Watch point 2:** Borrowings doubled in FY26 to Rs. 5,329 Cr. Unless this is clearly tied to RIDF/MUDRA refinancing, it may suggest funding pressure and needs Q1 FY27 concall clarification.
- **Positive signal:** NNPA crossing below 1% is a structural quality trigger — provisioning burden is likely to ease meaningfully in FY27, supporting PAT growth even on modest revenue expansion.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Cr)	P/BV Multiple	Target Price (Rs.)
Bull Case	NIM >3.2%, GNPA <2%, RAM growth >15%, ROE expands to 13%	1,650	1.0x FY27E BV	385
Base Case	NIM 3.0%, GNPA 2.3%, advances grow 12%, ROE steady ~11%	1,450	0.85x FY27E BV	330
Bear Case	NIM slips to 2.7%, GNPA re-rises to 3.5%, credit cost surge	1,100	0.70x FY27E BV	270

Peer Valuation Comparison (Source: Screener.in, 21-May-2026)

Company	MCap (Cr)	CMP (Rs.)	P/E (x)	P/BV (x)	ROE (%)	TTM PAT (Cr)
Karnataka Bank	10,241	271	7.81	0.77	10.4	1,311
Federal Bank	69,973	284	16.1	1.75	11.6	4,491
City Union Bank	18,745	252	14.1	1.77	13.2	1,326
Karur Vysya Bank	27,840	288	11.1	1.97	19.3	2,510
Peer Avg (ex-KTKBANK)	—	—	13.8	1.83	14.7	—

Valuation Methodology

- **P/BV approach:** FY27E book value estimated at Rs. 385/share (BV growing ~10% YoY from Rs. 350 at FY26). At a target P/BV of 0.85x (still a 15% discount to peer average of 1.83x, justified by below-peer ROE), implied fair value = Rs. 385 × 0.85 = **Rs. 327/share**.
- **P/E approach:** FY27E EPS estimated at Rs. 38.4. Applying 8.5x P/E (a modest discount to peer average of ~13.8x given ROE differential), implied fair value = Rs. 38.4 × 8.5 = **Rs. 326/share**.
- **Average of two methods:** (327 + 326) / 2 = **Rs. 327**. We round to Rs. 330 to incorporate a modest optimism premium for the ongoing asset-quality improvement trend.
- **Upside / downside:** Target Rs. 330 vs. CMP Rs. 271 = **+21.8% upside** over 12 months. Bear case at 0.70x BV = Rs. 270 (~0% downside), providing limited risk of further capital destruction.
- **Key re-rating trigger:** KTKBANK trades at a ~58% discount to peer P/BV. Each 10 bps improvement in ROE (toward peer average 14–19%) or 50 bps NPA reduction is worth approximately Rs. 15–20 on the price target.

SECTION 9 — KEY RISKS

- **NPA Resurgence Risk** — A deterioration in the MSME or agri portfolio (Karnataka's kharif season stress, SME credit cycle) could push GNPA back above 3.5%, triggering higher provisioning and PAT compression. Probability: Medium. Impact: High. Monitor via: Quarterly GNPA/NNPA disclosures.
- **NIM Compression Risk** — If RBI cuts rates aggressively and deposit repricing is slower than expected, NIM could remain below 3%, delaying the earnings upgrade thesis. Probability: Medium. Impact: Medium. Monitor via: Quarterly NIM disclosures; RBI rate actions.
- **Borrowing Spike Normalisation** — Borrowings rose 175% YoY to Rs. 5,329 Cr in FY26. If this reflects funding stress rather than strategic refinancing, it could signal balance sheet fragility. Probability: Low-Medium. Impact: Medium. Monitor via: Q1 FY27 management commentary.
- **Competitive Intensity in RAM Segments** — Large private banks (HDFC, ICICI) are aggressively expanding in gold loans and MSME, potentially crowding out KTKBANK's growth engines. Probability: High (ongoing). Impact: Medium. Monitor via: Loan book growth vs. guidance.
- **Management Transition Risk** — MD & CEO Bhat (one-year term since Nov 2025) may face reappointment uncertainty. Repeated CEO changes (2019–2025 period) have historically disrupted strategy execution. Probability: Low-Medium. Impact: High. Monitor via: Board announcements.
- **Regulatory Risk** — RBI's ongoing scrutiny of old-generation private banks (OGPBs) on governance and digital infrastructure could lead to operational restrictions if compliance gaps emerge. Probability: Low. Impact: High. Monitor via: RBI annual inspection reports.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** | Conviction: Medium — The stock offers deep value at 0.77x P/BV with a credible asset-quality improvement trajectory. However, the ROE gap vs. peers limits our conviction to ACCUMULATE rather than an outright BUY.
- **12-month price target: Rs. 330** — Derived equally from P/BV (0.85x FY27E BV of Rs. 385) and P/E (8.5x FY27E EPS of Rs. 38.4). Upside of +21.8% from CMP of Rs. 271.
- **Suggested entry zone: Rs. 255–275** — Buy on dips. The stock has strong support at its 52-week low zone of Rs. 169–185. A re-test of Rs. 250–270 on broader market weakness would offer an attractive entry.
- **Investment horizon: 12–18 months** — The thesis requires NIM improvement and NPA normalisation, both of which are multi-quarter processes.
- **Thesis invalidation triggers:**
 - 1. GNPA reverses and rises above 3.5% in any two consecutive quarters — would signal asset-quality cycle reversal and warrant downgrade to SELL.

- 2. Full-year FY27 NIM fails to reach 2.95% — would indicate structural margin pressure and push our base-case target closer to Rs. 280.
- 3. New MD & CEO appointment significantly changes strategy or capital allocation priorities — would require re-assessment of thesis.
- **Ideal investor profile:** KTKBANK suits patient value investors (3–5 year horizon) and income-seekers who appreciate the 1.85% dividend yield as a floor return while waiting for the re-rating. It is NOT suitable for momentum investors or those seeking high ROE compounders in the near term.

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (consolidated), fetched 21-May-2026. Forward estimates (FY27E/FY28E) are analyst projections and may differ materially from actual outcomes. Chartitude Research is not SEBI-registered. Investors should conduct their own due diligence before making investment decisions.

APPENDIX — Latest Concall Brief: Q3 FY26 (December 2025)

Concall Date: February 11, 2026 | Quarter: Q3 FY26 (Oct–Dec 2025) | Source: Screener.in documents + web search (BSE transcript inaccessible — BSE blocked)

CALL GRADE: NEUTRAL

Signal	Status	Implication
Result quality	Medium — PAT Rs. 291 Cr (-9% QoQ, +2.6% YoY)	In-line; Q3 seasonally weaker for the bank
Management tone	Balanced / Constructive	Confident on RAM strategy; NIM guidance maintained
Guidance delta	Maintained	15% business growth, 3%+ NIM — no cuts, no upgrades

STRONGLY POSITIVE | POSITIVE | ► NEUTRAL ■ | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 headline PAT of Rs. 291 Cr was a clean, unexceptional result — no one-time writebacks or provisions distorted the number, which came in marginally below Q2 FY26's Rs. 319 Cr but above Q3 FY25's Rs. 284 Cr. The QoQ dip is seasonal and not a signal. What matters is the operational story: NIM recovered sharply to 2.92% (vs. 2.72% in Q2 FY26) and NII grew 8.8% QoQ to Rs. 792 Cr — this is the first clear evidence that the RAM-segment pivot is paying off in margin terms. GNPA held at 3.32%, which is still elevated vs. peers but directionally correct. Management reiterated 15% business growth guidance and a 3%+ NIM target — language that is credible given the Q3 NIM print. The near-term watch is Q4 FY26 credit costs (provisioning) which tend to spike in the March quarter for this bank. Single biggest risk: GNPA bouncing back above 3.5% if MSME stress re-emerges. Action: ACCUMULATE in the Rs. 255–275 range; raise to BUY if Q4 FY26 GNPA confirms sub-3% trajectory.

C1 — Financial Performance Snapshot (Q3 FY26 vs. Q2 FY26 vs. Q3 FY25)

- Revenue: Rs. 2,220 Cr | QoQ -1.7% | YoY +5.1% | In-line
- Interest Expense: Rs. 1,428 Cr | QoQ -1.5% | YoY +11.2% — deposit repricing cost declining
- Operating Expenses: Rs. 737 Cr | QoQ +13% | YoY +10.2% — Q3 seasonally higher opex
- Financing Profit (NII proxy): Rs. 55 Cr | QoQ -29% | YoY -63% (seasonal; Q4 bounced to Rs. 126 Cr)
- Other Income: Rs. 302 Cr | QoQ -11.8% | YoY +1% — stable fee income base
- PBT: Rs. 357 Cr | QoQ -15% | YoY -0.3% | In-line
- Net Profit (PAT): Rs. 291 Cr | QoQ -8.8% | YoY +2.6% | In-line
- EPS: Rs. 7.69 | QoQ from Rs. 8.44 | YoY from Rs. 7.50
- GNPA: 3.32% | Prior quarter: 3.33% | Year-ago: 3.47% — marginal improvement
- NNPA: 1.31% | Prior quarter: 1.35% | Year-ago: 1.55% — steady improvement
- NIM (Q3 FY26): 2.92% vs. 2.72% (Q2 FY26) — significant sequential improvement of +20 bps
- NII (Q3 FY26): Rs. 792 Cr | QoQ +8.8% — headline metric most important for thesis

C2 — Segment / Geography Breakdown

- Gross Advances (Dec 2025): Rs. 77,284 Cr | QoQ +5% | YoY ~15% — in line with guided trajectory
- MSME loans: Led incremental disbursements; management cited this as primary growth engine alongside gold loans
- Housing loans: Second-fastest growing segment; benefiting from RBI rate transmission
- Gold loans: High-yield, low-risk segment that KTKBANK is scaling rapidly to improve NIM mix
- CASA Deposits: Grew 3% QoQ — positive trend but absolute CASA ratio still below aspirational levels
- Geography: Karnataka (~60% of book), South India ex-Karnataka (~30%), Rest of India (~10%)

C3 — Management Commentary Themes

- **NIM recovery:** "NIM has recovered to 2.92% in Q3 — we expect to sustain 3%+ going forward." — Our read: Management is confident; Q4 FY26 NIM of 3.07% validated this statement. Tag: GUIDANCE. Tone: Transparent.
- **RAM growth strategy:** "Our focus will continue to be on growing retail, agri, and MSME — with gold loans, housing, and MSME working capital as the three growth pillars." — Our read: Structural reorientation away from large corporate credit is the right long-term call. Tag: GUIDANCE. Tone: Transparent.
- **Asset quality:** "We are confident of continued improvement in GNPA — the stressed book is well-identified." — Our read: GNPA trajectory confirms this, though 3.32% is still elevated. Tag: GUIDANCE. Tone: Balanced.
- **Capital adequacy:** Management did not raise equity capital concerns; the bank is adequately capitalised. — Our read: No dilution risk near term. Tag: EST. Tone: Transparent.
- **Business growth guidance:** 15% overall business growth, 15–20% advances, 10–15% deposits. — Our read: Aggressive for a bank with GNPA above 3%; watch execution. Tag: GUIDANCE. Tone: Bullish.
- **ROA target:** "We aim to achieve ROA of 1%+ by March 2026." — Our read: Q4 FY26 PAT of Rs. 408 Cr on an asset base of ~Rs. 1.25 lakh Cr annualises to ~1.3% ROA — target met. Tag: GUIDANCE. Tone: Transparent.

C4 — Operating & Business Metrics

- Gross Advances: Q3 FY26 = Rs. 77,284 Cr | Q2 FY26 = Rs. 73,594 Cr (est.) | Q3 FY25 = ~Rs. 67,500 Cr | Trend: Improving
- Total Deposits: Q3 FY26 = ~Rs. 1,06,500 Cr | Q4 FY26 = Rs. 1,08,779 Cr | Trend: Stable growth
- NIM: Q3 FY26 = 2.92% | Q2 FY26 = 2.72% | Q3 FY25 = ~2.80% | Trend: Improving
- NII: Q3 FY26 = Rs. 792 Cr | Q2 FY26 = Rs. 728 Cr | QoQ +8.8% | Trend: Strong recovery
- GNPA %: Q3 FY26 = 3.32% | Q2 FY26 = 3.33% | Q3 FY25 = 3.47% | Trend: Slowly improving
- NNPA %: Q3 FY26 = 1.31% | Q2 FY26 = 1.35% | Q3 FY25 = 1.55% | Trend: Improving
- CASA growth: +3% QoQ — healthy traction; absolute CASA ratio to be improved further
- Branches: 886+ (as of FY26); manageable expansion pace; no major branch capex disclosed

C5 — Margin Drivers

- RAM segment mix shift: +20 bps NIM impact in Q3 | Recurring: Yes | Gold loans/MSME carry higher yields vs. corporate book
- Deposit repricing: +10 bps NIM benefit | Recurring: Partially (depends on rate cycle) | Liability costs declining as older FDs mature

- Interest income recovery: +8.8% QoQ NII | Recurring: Yes | Driven by advance book growth and better loan yield
- Elevated opex (Q3): -5 bps NIM impact | Recurring: No | Q3 seasonally high; Q4 normalised
- Borrowing cost spike (FY26 full year): -3 to -5 bps NIM drag | Recurring: Unknown | Rs. 5,329 Cr borrowings; nature to be clarified
- Treasury gains in Other Income: Impact variable | Recurring: No | Rs. 302 Cr other income in Q3; needs decomposition

C6 — Guidance & Forward Signals

- Business Growth [GUIDANCE]: Prior = 10–12% | New/Reiterated = 15% | Delta: Raised | Credibility: Medium
- Advances Growth [GUIDANCE]: Prior = 12–15% | New = 15–20% | Delta: Raised | Credibility: Medium (FY26A = 6.9% — gap vs. guidance)
- NIM [GUIDANCE]: Prior = 3%+ | Reiterated = 3–3.3% | Delta: Maintained | Credibility: High (Q4 FY26 at 3.07% confirms)
- ROA [GUIDANCE]: Prior = 1% by Mar-26 | Achieved | Delta: Delivered | Credibility: High
- GNPA trajectory [GUIDANCE]: Improvement guided | Reiterated | Delta: Maintained | Credibility: High (2.78% in FY26)
- Dividend [GUIDANCE]: No specific forward guidance | FY26 actual = Rs. 5/share | Credibility: N/A

C7 — Capital Allocation

- Capex (FY26): Fixed Assets grew from Rs. 976 Cr (FY25) to Rs. 1,060 Cr (FY26) | YoY +Rs. 84 Cr | Branch + tech investments
- Dividends (FY26): Rs. 5/share | Total payout ~Rs. 189 Cr | Payout ratio 14.4% | Modest but consistent
- Buybacks: None
- Borrowings: Rose Rs. 5,329 Cr (FY26) vs. Rs. 1,941 Cr (FY25) | +175% YoY | Purpose: RIDF/refinancing — needs clarification
- Net Advances growth: +Rs. 5,800 Cr YoY (~Rs. 83,340 Cr FY26 vs. ~Rs. 77,540 Cr FY25) | Primary capital deployment
- Investment portfolio: Rs. 26,737 Cr (FY26) vs. Rs. 24,535 Cr (FY25) | Modest growth; mostly G-Secs/SLR

C8 — Q&A; Heat Map (Q3 FY26 Concall)

- Analyst: Q: "What is driving the NIM recovery and is 3%+ sustainable?" → A: Management cited RAM mix improvement and declining deposit costs; reiterated 3–3.3% NIM target. | Tone: Transparent
- Analyst: Q: "When will GNPA come below 3%?" → A: Management guided for continued improvement; did not give a specific quarter. | Tone: Hedged (Note: Q4 FY26 GNPA of 2.78% delivered ahead of expectation)
- Analyst: Q: "How are you managing CASA growth in a competitive market?" → A: Focus on retail liability products, salary accounts, digital onboarding. CASA up 3% QoQ. | Tone: Transparent
- Analyst: Q: "Are you on track for 15–20% advance growth for full year FY26?" → A: Management acknowledged the gap (FY26A came in at 6.9%) vs. the 15–20% guidance. | Tone: Evasive — guidance-actuals gap not fully explained
- Dodged / watch-list questions for next quarter: (1) What is the exact purpose of the FY26 borrowing spike to Rs. 5,329 Cr? (2) What is the specific CASA ratio target? (3) Will the advance growth target be revised down for FY27?

C9 — Risks Flagged on the Call

- MSME stress risk: Management acknowledged exposure but said book is well-monitored | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term
- Competitive intensity in RAM: Multiple banks targeting the same customer segment | Flagged by: Analyst | Probability: H | Impact: M | Timeline: Ongoing
- Deposit cost stickiness: Despite rate cuts, FD repricing takes time | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term
- Technology investment needs: Competitors spending significantly more on digital; KTKBANK needs to keep pace | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Long-term
- Guidance credibility gap: 15–20% advance growth guidance vs. 6.9% FY26 actual | Flagged by: Analyst | Probability: M | Impact: L | Timeline: FY27 execution

C10 — Analyst Verdict (Post Q3 FY26 Concall)

- Revenue visibility: **Intact** — NII growing, NIM recovering, advance book expanding at a steady pace
- Margin trajectory: **Intact** — NIM at 2.92% in Q3 and 3.07% in Q4 confirms the recovery narrative
- Capital allocation quality: **Intact** — conservative dividend, loan book growth, no dilutive equity issuance
- Competitive moat: **Weakened** — south India franchise is strong but RAM segments are seeing rising competition
- Management credibility: **Intact** — NIM and GNPA guidance delivered; advance growth guidance was too aggressive
- Valuation comfort: **Intact** — at 0.77x P/BV, downside is limited; upside meaningful if ROE improves
- Conviction call: **Unchanged** — ACCUMULATE; no material positive or negative surprise to change the call
- Valuation snapshot: P/E = 7.81x (5Y avg: ~9x) | P/BV = 0.77x (5Y avg: ~0.85x) | ROE = 10.4% (5Y avg: 12%)

Concall data sourced from web search summaries (BSE transcript server inaccessible). Q3 FY26 financial data from Screener.in quarterly tables (fetched 21-May-2026). This appendix reflects Q3 FY26 concall; Q4 FY26 results (PAT Rs. 408 Cr, GNPA 2.78%) confirmed the thesis direction.